together with low interest environment and better growth prospects in emerging economies, contributes to increase in capital flows.

- A closer look at the global risk-on/off events and FII flows to India shows strong correlation between such events and surge and reversal of capital. For example, the US credit rating downgrade in early August 2011, together with worsening of euro crisis, created a risk-off environment. As a result, there was net withdrawal of FII investment of US$ 3.7 billion during August-October 2011.
- The *Long Term Refinancing Operation* (LTRO) of European Central Bank that injected more than Euro 1 trillion in the banking system in two tranche in December 2011 and February 2012 again created a risk-on environ. As a result, there was a net FII inflow of US$ 16.9 billion during December 2011–February 2012. The investor euphoria soon evaporated as the euro crisis worsened and the spectre of Greek exit loomed. Consequently, the investor behaviour again became risk-off, leading to net FII outflow of US$ 2.3 billion during March–June 2012.

The *investment climate began improving* in ***July 2012*** with –

(i) Announcement by European Central Bank President that the euro would be saved at all cost;

(ii) Proposal to set-up Banking Union in the euro zone;

(iii) Launch of permanent European Stability Mechanism; and

(iv) Launch of QE3 in US. The resulting risk-on atmosphere has seen a net FII inflow of US$ 10.8 billion during July–October, 2012.

FDI LIBERALIZATION

Foreign Direct Investment (FDI) is preferred to the foreign portfolio investments (PIS) primarily because FDI is expected to bring modern technology, managerial practices and has a long–term nature of investment. The government has liberalized FDI norms overtime. As a result, *only a handful of sensitive sectors now fall in the prohibited zone* and FDI is allowed fully or partially in the rest of the sectors.